Paramount Skydance – Warner Bros. Discovery

MN-45006

Phase 1 Determination

Acquisition may be put into effect

9 June 2026

1. Determination

Notified acquisition	Paramount Skydance Corporation (**Paramount**) and Warner Bros. Discovery, Inc. (**Warner Brothers**) signed an agreement (the **Merger Agreement**). Under the terms of the Merger Agreement, Paramount will pay USD $31.00 per share in cash for all outstanding shares of Warner Brothers (the **Acquisition**).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABZE(1) of the *Competition and Consumer Act 2010* (Cth) that the Acquisition may be put into effect.
Parties to the Acquisition	The acquirer, Paramount, is a global media, streaming and entertainment company that supplies content and experiences, including films, television series, and animated content. Paramount's portfolio of brands and production assets includes Paramount Pictures, Paramount Television, Paramount+, CBS, CBS News, CBS Sports, Nickelodeon, MTV, BET, Comedy Central, Showtime, Pluto TV and Skydance Media LLC animation, interactive/games and sports divisions. In Australia, Paramount operates the free-to-air (**FTA**) television network, Network 10. Network 10 is one of five Australian FTA TV networks, and operates four television channels (Channel 10, 10 Drama, 10 Comedy and Nickelodeon) and a free online streaming service ('**10**'). Paramount also operates Paramount+, a paid digital subscription video on-demand (**SVOD**) and live streaming service available to Australian consumers. Paramount also licenses audiovisual content to rival TV channels and digital services in Australia. Paramount distributes films to cinemas in Australia through its local theatrical distribution company. The target, Warner Brothers, is a global media and entertainment company that creates and distributes a portfolio of content and products across television, film, streaming and interactive gaming. Warner Brothers' brands and production assets include Discovery Channel, CNN, DC Studios, New Line Cinema, TNT Sports, Eurosport, HBO Max, HBO, Warner Bros. Motion Picture Group, Warner Bros. Television Group, and Warner Bros. Games. Warner Brothers operates several pay TV services in Australia (Discovery, Investigation Discovery, Animal Planet, TLC, Discovery Turbo, Travel Channel and HGTV) and the SVOD service HBO Max. In Australia, Warner Brothers distributes films to cinemas via a third party, Universal Pictures, and has local subsidiaries active in film and television production, including Big Pond Productions Pty Ltd and Warner Bros. International Television Production Australia.
Reasons for determination	The reasons for the ACCC's determination are set out in section 2.

2. Statement of reasons

2.1. When making a determination in Phase 1, the Australian Competition and Consumer Commission (**ACCC**) undertakes a competition assessment and considers whether it is appropriate for an acquisition to be approved or subject to further assessment in Phase 2 in accordance with section 51ABZJ of the *Competition and Consumer Act 2010* (Cth) (the **Act**). In doing so, the ACCC must have regard to the object of the Act and all relevant matters, including the interests of consumers.

2.2. For more information about the ACCC's approach to considering notified acquisitions, see the ACCC's merger assessment guidelines and interim merger process guidelines.

2.3. For the reasons given below, the ACCC has determined that the Acquisition may be put into effect.

Industry background

Wholesale production, licensing and distribution of theatrical and other AV content

2.4. Paramount and Warner Brothers (together, the Parties) are both active in the production, licensing and distribution of both theatrical audio visual (AV) content (i.e. films for theatrical release in cinemas), and other AV content focused on television and home entertainment.

(a) **Production** of AV content involves financing, script development, casting, shooting and post-production, either by one studio or through a collaboration between studios.

(b) **Licensing** of AV content refers to producers licensing the distribution rights to their content to downstream companies (e.g. wholesale distributors, cinemas, streaming services, etc.).

(c) For both theatrical and other AV content, **distribution** is carried out through either third-party distributors who specialise in the distribution of content, or self-distribution by producers directly to retail providers of AV content.

2.5. These three activities are sometimes referred to as wholesale activities in that they are supplied to downstream businesses (e.g., streaming services, cinemas) rather than consumers.

Retail provision of theatrical and other AV content to consumers

2.6. The display of AV content to end consumers, which is sometimes referred to as retail supply or provision, can be categorised as follows.

2.7. **Theatrical content** is displayed to end consumers by cinemas. There are 466 cinemas in Australia that exhibit theatrical content for consumption by customers.[1] The Parties, as well as Walt Disney, Universal, Sony, Roadshow Films, Madman Entertainment, Icon and other studios supply theatrical content that is exhibited in cinemas.

[1] Screen Australia, Cinema Industry Trends: Screens and Theatres.

2.8. **Non-theatrical AV content** is displayed to end consumers via several channels (together, **non-theatrical retail AV services**), including:

(a) Linear TV channels (either free-to-air (**FTA**) TV or pay TV). There are a number of FTA networks in Australia that acquire AV content produced by the Parties and other producers to display to consumers. Seven West Media, Nine Entertainment and ABC are the three largest FTA networks in Australia by market share. Channel Ten is another FTA network, which is owned by a subsidiary of Paramount.

(b) Subscription video on demand (**SVOD**) services. There are many SVOD services in Australia, including those provided by the Parties (Paramount+ and HBO Max), as well as Netflix, Stan, Disney, Binge, Apple TV, Amazon Prime, BritBox, Hayu, Kayo and Crunchyroll. The providers of these services may display their own content and/or license content from third parties (including from the Parties).

A 2025 survey from Australian Communications and Media Authority found that SVOD services are the most popular way for Australians to watch video content, with 68% of Australian adults using SVOD services.[2]

(c) Other channels, including ad-supported video on demand (**AVOD**) services, free ad-supported streaming TV (**FAST**) services, and the sale or rental of physical media (e.g. DVDs) and digital media (e.g. transactional video on demand (**TVOD**), pay-per-view).

2.9. Many providers of non-theatrical retail AV services operate more than one of the above services; for example, providers of linear television also offer streaming services (either AVOD, TVOD or SVOD), which can include 'catch up' of content previously aired on linear TV.

2.10. Australian consumers often multi-home across services to access a broader range of AV content, using an average of 4.2 different services to watch video content online in 2025.[3]

Overlap and relationship between the Parties

2.11. Based on information provided by the Parties and market participants, as well as other publicly available information, the ACCC considers there are both horizontal and vertical relationships between the Parties as follows*:*

(a) **Wholesale supply of films for theatrical release (horizontal and vertical):** The ACCC finds that the Parties' activities overlap horizontally in the supply of films for theatrical release to Australian cinemas. The Parties are both major producers of films released theatrically worldwide. Paramount distributes its own films to cinemas in Australia via a local subsidiary, while Warner Brothers distributes films to cinemas in Australia via Universal Pictures.

There is also a vertical relationship between the Parties as, following the initial release of films to cinemas, the Parties typically license these films to SVOD or other linear and on-demand retail AV services.

[2] Australian Communications and Media Authority, Communications and media in Australia series: How we watch and listen to content – Executive summary and key findings (March 2026), p 2.

[3] Australian Communications and Media Authority, Communications and media in Australia series: How we watch and listen to content – Executive summary and key findings (March 2026), p 6.

(b) **Wholesale supply of other AV content (horizontal and vertical):** The Parties overlap horizontally and have a vertical relationship in the production and wholesale supply of non-theatrical AV content. The Parties both supply non-theatrical AV content to third-party TV networks, streaming platforms and other retail services, including each other's. The Parties supply this content to third parties through the sale or licensing of rights to exhibit existing content, the production of content commissioned by a third-party network or platform, or co-financing a production where intellectual property rights to the finished content are split between the financers.

(c) **Retail provision of AV content to consumers (horizontal):** The Parties overlap horizontally in the supply of non-theatrical retail AV services to consumers through their respective SVOD platforms, Paramount+ and HBO Max. Both platforms offer a range of content including TV series and films of various genres, and Paramount+ also offers live sport (primarily Australian A-League soccer).

Paramount also operates in the retail provision of AV content to consumers through its ownership of the FTA television network, Network 10, which includes several terrestrial TV channels and a free online streaming service, 10.

(d) **Other overlaps:** The Parties also overlap horizontally in the supply of advertising space, IP licensing rights for merchandise, and development and publishing of video games in Australia. However, the Parties have a limited presence in these markets.

Competition assessment

2.12. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the continuation of the current state of competition (being the likely future state of competition if the Acquisition does not proceed).

Relevant areas of competition

2.13. The ACCC has considered whether the Acquisition is likely to substantially lessen competition in the production, licensing and wholesale supply of films for theatrical release in Australia.

2.14. The ACCC has also considered whether the Acquisition is likely to substantially lessen competition in the supply of non-theatrical retail AV services in Australia should the merged entity, post-Acquisition, seek to leverage its position in the supply of wholesale AV content to foreclose rivals.

2.15. In addition, the ACCC initially considered other possible theories of harm, including:

(a) potential unilateral horizontal effects in the wholesale supply of non-theatrical AV content;

(b) potential unilateral horizontal effects in the supply of SVOD services;

(c) the potential for the merged entity to leverage its position in its downstream retail services (e.g. its SVOD services) to foreclose rival suppliers of wholesale non-theatrical AV content;

(d) potential unilateral horizontal effects in the acquisition of AV production services in Australia; and

(e) potential unilateral horizontal effects in the supply of advertising space.

2.16. However, these theories were not considered in detail as they are not supported by the material before the ACCC.

Competition effects in the supply of films for theatrical release

2.17. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in relation to the wholesale supply of films for theatrical release in Australia. The ACCC finds that, while the Acquisition would remove competition between Paramount and Warner Brothers, the merged entity would continue to be constrained by other film studios post-Acquisition.

2.18. The ACCC has considered how each of the Parties compete in the supply of films for theatrical release in Australia. In reaching its decision, the ACCC has had regard to information provided by the Parties and market participants, as well as other publicly available information.

2.19. Based on the materials before it, the ACCC considers:

(a) The materials do not support the view that Paramount and Warner Brothers are particularly close competitors or that they compete more closely with each other than with the other major film studios.

The Parties, as well as major film studios like Disney, Sony and Universal Pictures, are key suppliers of films for theatrical release, routinely competing for exhibition by cinema operators and box office revenue.

(b) Post-Acquisition, the merged entity would continue to face competition from alternative suppliers of films for theatrical release.

The alternative suppliers include major studios Disney, Sony and Universal, which each received approximately 10%–25% share of annual Australian box office receipts between 2021 and 2025.[4] The merged entity would also continue to face some competition from smaller or independent suppliers, such as Roadshow, Amazon MGM, StudioCanal, Madman, Icon, Rialto, Transmission, Pinnacle and other independent providers.

2.20. Market participants raised concerns that the Acquisition would result in the merged entity favouring its own vertically-integrated content distribution arms (e.g. its SVOD services) to foreclose competition by others, including third-party cinemas, by releasing more of its films directly to its own non-cinema content distribution arms without any prior theatrical release, or with only limited theatrical release. However, while vertically integrated film studios have incentives to provide films to their own SVOD services, the materials before the ACCC indicate that the Parties also have an incentive to first supply films to cinemas for theatrical release. Taking into account the above findings, the ACCC does not consider the current incentives, including the proposed timeframes for theatrical release, appear likely to substantially change for the merged entity post-Acquisition.

2.21. Some market participants also raised concerns that the Acquisition would result in a reduction in output of films produced by the merged entity (compared to the number

[4] Screen Australia, Cinema Industry Trends Distributor Box Office Share.

of films that the Parties currently produce), or a reduction in the quality or variety of films produced by the merged entity. However, based on materials before it, the ACCC considers that the merged entity would still be incentivised to produce and supply a similar number of films, and films of similar quality, to Australian cinemas given the competitive constraints it would continue to face from alternative suppliers of films for theatrical release, as noted above.

Foreclosure of rival non-theatrical retail AV services from accessing wholesale AV content

2.22. The ACCC considers that the Acquisition is unlikely to have the effect of substantially lessening competition in the supply of non-theatrical retail AV services, including SVOD services (e.g. Netflix, Binge) and linear TV services (e.g. Channel 9, Channel 7), by enabling the merged entity to foreclose rivals' access to wholesale AV content.

2.23. In making its assessment, the ACCC has had regard to market shares, margins and subscriber data supplied by the Parties, as well as information supplied by market participants.

2.24. Based on the materials before it, the ACCC finds that the merged entity is unlikely to have a sufficiently strong position in the supply of wholesale AV content to enable it to successfully foreclose rivals' access to AV content. In particular, while feedback from market participants indicates the Parties are important in the supply of AV content to non-theatrical retail AV services, there appear to be a range of alternative sources such as NBCUniversal, Sony, Lionsgate, Amazon MGM and local wholesale content suppliers (e.g. All3Media, Banijay, Fremantle, A&E). In addition, some TV networks and on-demand services have the option of self-supply by commissioning or producing their own content.

2.25. Therefore, the ACCC considers that Paramount and Warner Bros' rival non-theatrical retail AV services suppliers are not sufficiently dependent on access to the Parties' wholesale AV content. Accordingly, if the merged entity were to restrict rival suppliers' access to its content, it would be unlikely to lead to a significant loss of rivals' sales or reduction in their content quality. Therefore, the ACCC considers that there is unlikely to be a substantial lessening of competition arising from foreclosure of access to wholesale AV content.

3. Applications for review

3.1. A notifying party, or other person who has been allowed to do so by the Australian Competition Tribunal, may apply for review if they are dissatisfied with the determination. Pursuant to section 100C of the Act, applications for review of the determination are to be made to the Australian Competition Tribunal before the end of 14 calendar days after this statement of reasons was included on the ACCC's Acquisitions Register. To confirm whether there has been any application for review, please contact the Australian Competition Tribunal.

Determination made by a division of the Commission constituted by a direction issued pursuant to section 19 of the Act